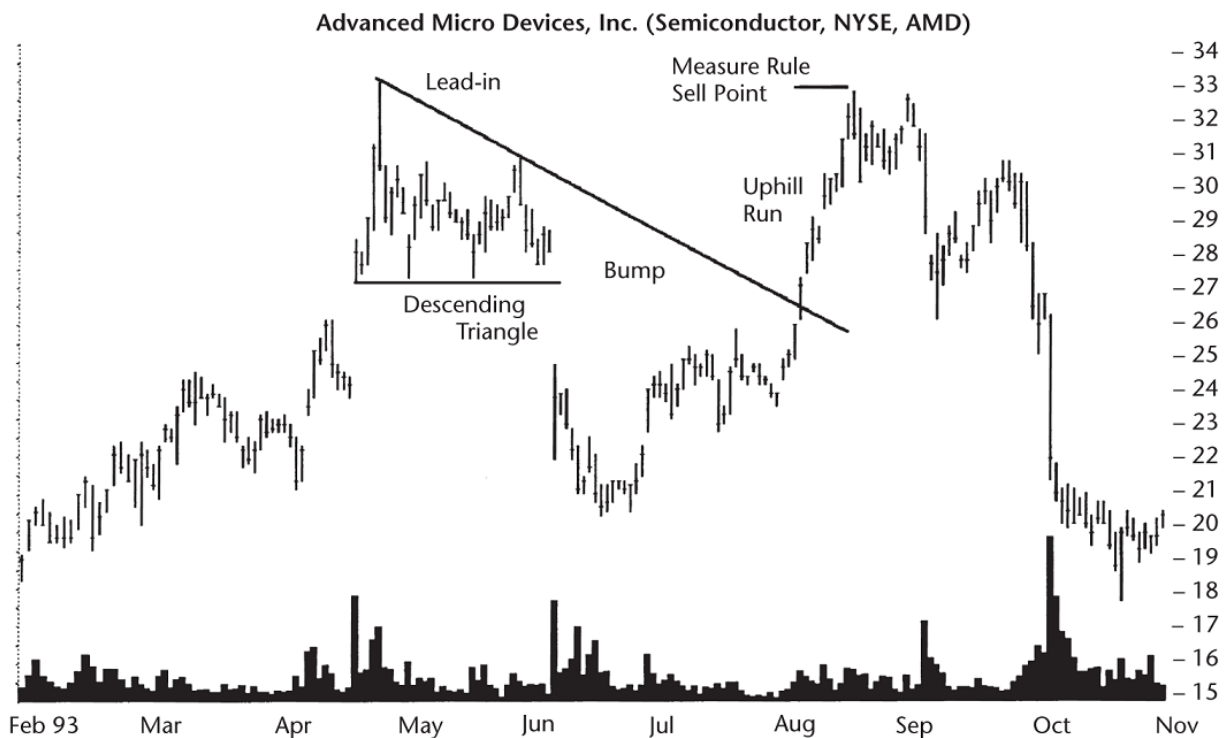


trendline, buy the stock. Waiting for an upward breakout prevents a loss should the stock break out downward or form a second bump.

Sell at old high. Place a sell order near the price level of the old high (the price at the start of the BARR). That will keep your profits intact should the stock then turn down. If you are reluctant to sell your holdings, why not sell half when the stock reaches the old high, and then see what happens?

[Figure 14.5](#) shows an example of the situation I'm writing about. Price began the BARR at 32.88 and then formed a descending triangle. (It's not a good triangle because it only has four trendline touches instead of five and too much whitespace. Where the bottom trendline cuts through price at the gap (at pattern start) doesn't count because it's not a minor low.)



[Figure 14.5](#) This is a bump-and-run reversal that stopped rising within 15% of its old highs.

In June, parts began falling off the semiconductor stock. The breakaway gap saw price plummet over \$4 to close at 23.75 on 7 June, then continue lower, reaching a low in June in the middle of the bump phase. From the low, price recovered and moved higher until reaching a high just 25 cents below the price at the start of the BARR pattern. Then the stock faded. A sale at the old high would have been timely in this example.